

Calendar Line # 6
Case Name Staci A. Santoro vs Ford Motor Co., et al
Case No. 25CV468980
Motion for Judgment on Pleadings Before the court is defendant Ford Motor Company’s motion for judgment on the pleadings. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows. <u>I. BACKGROUND</u> On or about August 20, 2023, plaintiff Staci A. Santoro (“Santoro”) entered into a warranty contract with defendant Ford Motor Company (“Ford”) regarding a 2023 Ford Edge, vehicle identification number 2FMPK4AP5PBA5082 (“Subject Vehicle”) manufactured and/or distributed by defendant Ford. (Complaint, ¶¶7 – 8 and Exh. A). Defects and nonconformities to warranty manifested themselves within the applicable express warranty period including, but not limited to, engine defects, transmission defects, electrical defects, among other defects and non-conformities. (Complaint, ¶12). Plaintiff Santoro alleges defendant Ford concealed a known defect from her. (Complaint, ¶52). The 2.7L engine and/or its related components installed in the Subject Vehicle suffer from one or more defects that can result in the loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine (“Engine Defect”). (Complaint, ¶53). Prior to sale of the Subject Vehicle, defendant Ford knew or should have known about the Engine Defect through its exclusive knowledge of non-public, internal data including pre-release test data, early consumer complaints to defendant Ford’s dealers, dealership repair orders, testing conducted in response to complaints, and other internal sources of information possessed exclusively by defendant Ford and its agents. (Complaint, ¶¶57, 59, 62, 63, 64, 65, 76). Nevertheless, defendant Ford and its agents actively concealed the Engine Defect and failed to disclose this defect to plaintiff at the time of her purchase of the Subject Vehicle or thereafter. (<i>Id.</i>) Defendant Ford either refused to acknowledge the existence of the defects or performed superficial and ineffectual repairs that masked the symptoms of the Engine Defect. (Complaint, ¶¶59, 75, 77, 78). If plaintiff knew about these defects at the time of sale, plaintiff would not have purchased the Subject Vehicle. (Complaint, ¶60). On June 24, 2025, plaintiff Santoro filed a complaint against defendant Ford and Future Ford Lincoln of Roseville (“Roseville Ford”) asserting causes of action for: (1) Violation of Subdivision (d) of Civil Code Section 1793.2 [against defendant Ford] (2) Violation of Subdivision (b) of Civil Code Section 1793.2 [against defendant Ford] (3) Violation of Subdivision (a)(3) of Civil Code Section 1793.2 [against defendant Ford] (4) Breach of the Implied Warranty of Merchantability [against defendant Ford] (5) Negligent Repair [against defendant Roseville Ford] (6) Fraudulent Inducement – Concealment [against defendant Ford] On September 29, 2025, defendant Ford filed an Answer to plaintiff Santoro’s Complaint. On October 29, 2025, defendant Ford filed the motion now before the court, a motion for judgment on the pleadings directed at plaintiff Santoro’s sixth cause of action for fraudulent inducement – concealment. <u>II. LEGAL STANDARD</u> <u>A. PROCEDURAL VIOLATION</u> As a preliminary matter, the court notes that plaintiff Santoro’s opposition is untimely filed and served. Code of Civil

Procedure section 1005, subdivision (b) states, “All papers opposing a motion . . . shall be filed with the court and a copy served on each party at least nine court days . . . before the hearing.” Based on a hearing date of July 23, 2026, plaintiff Santoro’s opposition had to be filed and served no later than July 10, 2026. Plaintiff Santoro did not file and serve opposition until July 14, 2026, two court days late. Plaintiff’s counsel submitted a declaration apologizing for the late filing citing only “the press of business” as the reason for the delay.²

California Rules of Court, rule 3.1300, subdivision (d) states, “No paper may be rejected for filing on the ground that it was untimely submitted for filing. If the court, in its discretion, refuses to consider a late filed paper, the minutes or order must so indicate.” Since the court has discretion to consider a late filed paper, since defendant Ford has not suffered any prejudice from the late filing, and to avoid the expenditure of any further judicial resources, the court will look past this procedural violation and consider the opposition on its merits. However, plaintiff Santoro and her counsel are hereby admonished for the procedural violation. Any future violation may result in the court’s refusal to consider the untimely filed papers.

B. JUDGMENT ON THE PLEADINGS

A motion by a defendant may be made on the grounds that (1) the court “lacks jurisdiction of the subject of one or more of the causes of action alleged” or (2) the complaint or cross-complaint “does not state facts sufficient to constitute a cause of action against that defendant.” (Code of Civ. Proc. § 438(c)).

The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the material fact.

(*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40 (*Rattagan*)).

III. ANALYSIS

A. DUTY TO DISCLOSE

Defendant Ford contends the sixth cause of action for fraudulent concealment is defective because plaintiff Santoro has not pleaded any facts establishing defendant Ford had a duty to disclose. “The general rule for liability for nondisclosure is that even if material facts are known to one party and not the other, failure to disclose those facts is not actionable fraud unless there is some fiduciary or confidential relationship giving rise to a duty to disclose.” (*La Jolla Village Homeowners’ Assn. v. Superior Court* (1989) 212 Cal.App.3d 1131, 1151). To maintain a cause of action for fraud through nondisclosure or concealment of facts, a plaintiff must demonstrate that the defendant was under a legal duty to disclose those facts. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 845). “Where . . . there is no fiduciary relationship, the duty to disclose generally presupposes a relationship grounded in some sort of transaction between the parties. Thus, a duty to disclose may arise from the relationship between seller and buyer . . . or parties entering into any kind of contractual agreement.” (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 337, internal citations omitted). In *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311-312 (*Bigler*) the court wrote:

Our Supreme Court has described the necessary relationship giving rise to a duty to disclose as a “transaction” between the plaintiff and the defendant: “In *transactions* which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least

² See ¶2 to the Code of Civil Procedure section 473(b) Declaration of Jacob Lister Regarding Plaintiff’s Late-Filed Opposition to Motion for Judgment on the Pleadings.

three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.” (*Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294 [85 Cal. Rptr. 444, 466 P.2d 996], italics added, fns. omitted.). Other cases have described the requisite relationship with the same term. (See, e.g., *Hoffman v. 162 North Wolfe LLC* (2014) 228 Cal.App.4th 1178, 1187 [175 Cal. Rptr. 3d 820] (*Hoffman*); *LiMandri, supra*, 52 Cal.App.4th at p. 337 [“As a matter of common sense, such a relationship can only come into being as a result of some sort of transaction between the parties.”]). ***Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.*** (Emphasis added).

Defendant Ford contends there is no direct relationship alleged between it and plaintiff Santoro because plaintiff Santoro does not allege she purchased the Subject Vehicle directly from Toyota. However, earlier in *Bigler*, the court cites with approval the following: “ ‘A duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as “‘seller and buyer, employer and prospective employee, doctor and patient, **or parties entering into any kind of contractual arrangement.**”’ ” [Citation.]” (*Bigler, supra*, 7 Cal.App.5th at p. 311; emphasis added). Here, although plaintiff Santoro does not allege she directly purchased the Subject Vehicle from defendant Ford, plaintiff Santoro has alleged the existence of a contractual agreement (express written warranty) with defendant Ford and thus, a basis upon which a duty to disclose arises. (See Complaint, ¶¶ 7 – 8 and Exh. A).

B. DAMAGES

Defendant Ford contends plaintiff Santoro has not sufficiently alleged that she suffered any damage as a result of the alleged fraud. Defendant Ford hones in on that portion of paragraph 61 of the complaint which alleges, “Plaintiff was harmed and suffered actual damages in that the Subject Vehicle’s engine is substantially certain to fail before its expected useful life has run.” Defendant Ford contends this allegation lacks any factual detail as to the character or amount of those damages or how such damages could be calculated.

Defendant Ford’s focus on this one allegation overlooks plaintiff Santoro’s earlier allegation that had she known about the defects at the time of sale, “Plaintiff would not have purchased the Subject Vehicle.” This is a sufficient statement of a monetary damage that plaintiff suffered as a result of the alleged fraud. Although specificity is required in pleading fraud, the amount of such damage (purchase price) is reasonably inferred.

C. ECONOMIC LOSS

Finally, defendant Ford contends the claim for fraudulent concealment is barred by the economic loss rule. The economic loss rule provides that “where a purchaser’s expectations in a sale are frustrated because the product he brought is not working properly, his remedy is said to be in contract alone, for he has suffered only economic losses.” (*Robinson Helicopter Company v. Dana Corporation* (2004) 34 Cal.4th 979, 988 (*Robinson*)). This doctrine hinges on a “distinction drawn between transactions involving the sales of goods for commercial purposes where economic expectations are protected by commercial and contract law, and those involving the sale of defective products to individual consumers who are injured in a manner which has traditionally been remedied by resort to the law of torts.” (*Ibid.*). The rule requires a purchaser to recover solely in contract for purely economic loss due to disappointed expectations, unless the purchaser can demonstrate harm above and beyond a broken contractual promise. (*Ibid.*).

Insofar as plaintiff Santoro has asserted fraudulent concealment inducing her purchase of the Subject Vehicle, plaintiff’s sixth cause of action is not barred by the economic loss rule. (See *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 923-924—“Not all tort claims for monetary losses between contractual parties are barred by the

economic loss rule. But such claims are barred when they arise from—or are not independent of—the parties' underlying contracts. (See *Robinson, supra*, 34 Cal.4th at p. 991 [holding that “the economic loss rule does not bar [the plaintiff's] fraud and intentional misrepresentation claims because they were independent of [the defendant's] breach of contract”]). *Rattagan* did not address application of the economic loss rule to claims of fraudulent inducement by concealment. (See *Rattagan, supra*, 17 Cal.5th at p. 41, fn. 12—“This court has granted review³ in two other cases—*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828 [300 Cal. Rptr. 3d 715], review granted February 1, 2023, S277568 and *Kia America v. Superior Court* (Feb. 3, 2022, D079858) (nonpub. opn.), review granted April 20, 2022, S273170—both of which involve claims of fraudulent inducement by concealment claims as well as the potential interplay with remedies available under the Song-Beverly Consumer Warranty Act (Civ. Code, § 1791 et seq.). We do not address these issues here.”) The California Supreme Court has saved that discussion for another day.

The court declines to follow the federal trial court decisions relied upon by defendant Ford. While instructive and perhaps even persuasive, “A written trial court ruling has no precedential value.” (*Santa Ana Hospital Med. Ctr. v. Belshe* (1997) 56 Cal.App.4th 819, 831; *Budrow v. Dave & Buster's of California* (2009) 171 Cal.App.4th 875, 885; *Bolanos v. Superior Court* (2008) 169 Cal.App.4th 744, 761; *In re Molz* (2015) 127 Cal.App.4th 836, 845).

IV. CONCLUSION

Based on the foregoing, the defendant’s motion for judgment on the pleadings is DENIED. The Court will prepare the Order.

Calendar Line # 7

Case Name American Express National Bank vs Rizalino Leon

Case No. 25CV471472

Motion to Enter Judgment

I. BACKGROUND

This collections case stems from a non-payment of a credit card account. On July 25, 2025, Plaintiff American Express National Bank (“Bank”) filed a Complaint against Defendant Rizalino Leon (“Leon”) for the outstanding debt and alleged damages in the amount of \$10,875.27 and costs.

On September 4, 2025, the parties filed a Notice of Settlement and Stipulation for Entry of Judgment Pending Performance pursuant to Code of Civil Procedure section 664.6. (Notice of Settlement; Stipulation; and Declaration of Ren, p. 2; Exhibit A). Defendant Leon signed the agreement on August 28, 2025, and the plaintiff signed the agreement on August 29, 2025. (Stipulation, at p. 2). The settlement agreement set forth that the defendant was indebted to Plaintiff in the amount of \$10,875.27 relative to an account ending in 1007. (*Id.*). Defendant agreed to pay Plaintiff \$8,160.00 to resolve the action. (*Id.*; Declaration of Ren, p. 2; Exhibit A). The settlement agreement set forth a payment plan starting on or before September 10, 2025 to August 10, 2027, comprising of twenty-four (24) monthly payments in the amount of \$340.00 per month. (*Id.*, at p. 2-3). The parties stipulated that in the event that the defendant failed to make the scheduled payments, the defendant would be in default. (*Id.*). The agreement included an understanding that upon default, the plaintiff could seek to enforce the judgment pursuant to section 664.6 in the amount of \$10,875.27, plus costs, and less any amounts received by the defendant. The agreement expressly stated that the plaintiff could seek a motion or ex parte application to enforce

³ Review of these two decisions has since been dismissed. (*Dhital v. Nissan North America, Inc.* (2024) 327 Cal.Rptr.3d 898 [559 P.3d 1083]; *KIA America, Inc. v. Superior Court* (Dec. 18, 2024, No. S273170) ___ Cal.5th ___ [2024 Cal. LEXIS 7098]).